The Political Equation

A stable political environment is necessary for steady, balanced growth. If a country is ruled by a stable government which takes decisions for the long-term development of the country, industry and companies will prosper. On the other hand, instability causes insecurity, especially if there is the possibility of a government being ousted and replaced by another that holds diametrically different political and economic beliefs.

India has gone through a fairly difficult period. There had been terrible political instability after the ouster of Mr.
Narasimha Rao from the Prime Ministership. Successive elections held did not give any single political party a clear majority and mandate. As a result there were coalitions of unlikes. These led to considerable jockeying for power and led to the breakup of the governments and fresh elections. There has also been much grand standing such as the Mandal recommendations in order to capture votes. These led to riots. There were other religious and ethnic issues that also led to violence such as the Babri Masjid/Ram Janmabhoomi issue. There were Hindu-Muslim disturbances and bomb blasts. All these shook the confidence of the developed world in the security and stability of India. Tourism fell. Foreign Direct Investment fell. Investments were held back. These had an adverse impact on the development of the economy. In recent times this scenario has changed. The Government, even though a coalition one has been stable. Its policies have been positive and the economy has been doing well. There are predictions that by 2050, India would be one of the three most powerful nations in the world. This has led to renewed interest in India and investors are back.

International events too impact industries and companies. The USSR was one of India's biggest purchasers. When that enormous country broke up into the Confederation of Independent States, Indian exports declined and this affected the profitability of companies who had to search for other markets. Wars have a similar effect. The war in Croatia, in Kosovo, in Africa, the Gulf war and other wars have had an effect on exports of goods. The tragedy of 9/11 (September 9 when two planes crashed into the World Trade Center at New York), affected the entire world. Many industries are yet to fully recover. Similarly the SARS epidemic that affected South East Asia affected trade and tourism.